

Trump's Defense Stocks

Investment Research Workbook

A Companion Guide to Understanding Defense Sector Investment Opportunities

Educational Resource by Felix Prehn

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The Big Picture: What's Happening?

The Headline: The Trump administration signed a **\$1 trillion defense budget** into law, representing the biggest shift in defense spending priorities since World War II.

Three Major Policy Priorities

1. Homeland Security

- Building a "smart wall" at the border using advanced surveillance technology, drones, sensors, and artificial intelligence
- Implementing "Golden Dome for America" - a next-generation missile defense shield
- Advanced border protection systems approved in December 2025

2. Bringing Manufacturing Back Home

- The government has **banned** certain critical materials (like Germanium) from being sourced from China and Russia
- American companies that make these materials now have a guaranteed customer: the U.S. military
- Multi-year contracts ensure long-term revenue stability

3. Next-Generation Weapons

- Hypersonic missiles traveling at 5x the speed of sound
- Laser weapons that can shoot down drones for pennies per shot
- AI systems that make battlefield decisions faster than humans
- Autonomous combat drones and unmanned systems

The Investment Thesis: A defense technology investor stated: "Not since adoption of aircraft has the military been poised for a series of disruptions. 2025 was the year of promise and I expect **2026 will be the year of delivery.**"



Think About It:

Question 1: Which of these three priorities do you think will have the most immediate impact?

Question 2: Are you more interested in large, stable defense companies or smaller, higher-growth companies?

The 13 Defense Stocks

Note: Stock prices as of December 28, 2025. This is educational information only - not investment advice.

1. Palantir (PLTR) - \$188.71

What they do: AI software that connects all military systems (satellites, drones, radar) into one clear picture for commanders

Trump connection: Named as key technology provider for the "smart wall" at the border

Key data: \$11 billion in new contracts (10-year, \$10B Army contract + \$1B UK contract)

2. AeroVironment (AVAV) - \$255.00

What they do: Military-grade tactical drones for battlefield intelligence

Trump connection: Military moving to give every soldier squad their own drone

Key data: \$874M Army contract; expecting major Long Range Reconnaissance contract award in Q1/Q2 2026

3. LightPath Technologies (LPTH) - \$9.02

What they do: Specialized glass and optical components for drones, missiles, and infrared cameras; U.S. supplier of Germanium

Trump connection: NDAA law **bans** military from buying Germanium from China/Russia - must buy from U.S. suppliers

Key data: \$40M+ in orders; potential "huge" contract if Lockheed wins Stinger replacement (Q1/Q2 2026)

4. Ondas Holdings (ONDS) - \$8.48

What they do: Electronic warfare systems that jam/disable enemy drones; autonomous border protection systems

Trump connection: Won strategic government border-protection contract in December 2025; SAFER SKIES Act creates domestic counter-drone market

Key data: Analyst price targets \$12-\$13; called a "generational inflection point"

5. RTX Corporation (RTX) - \$185.17

What they do: Patriot missile systems and hypersonic weapons

Trump connection: "Golden Dome" missile defense relies on Patriot systems

Key data: \$218B backlog; Patriot spending secured **through 2032**; \$1.7B in new contracts

6. Park Aerospace (PKE) - \$21.37

What they do: Composite materials for Patriot missile bodies

Trump connection: Benefits from Patriot spending through 2032

Key data: Small company (\$425M market cap) with 7-year revenue visibility

7. Moog Inc. (MOG.A) - \$251.37

What they do: Precision actuators (steering components) for Patriot missiles

Trump connection: Benefits from Patriot spending through 2032

Key data: \$100M+ contract with Lockheed Martin for PAC-3 actuators

The 13 Defense Stocks (Continued)

8. SkyWater Technology (SKYT) - \$18.18

What they do: U.S.-based semiconductor foundry making specialized chips for aerospace and defense

Trump connection: National security priority to bring chip manufacturing back to U.S. from China/Taiwan

Key data: "Will get quite a bit of money from the government" for domestic chip production; Strong Buy consensus

9. Rocket Lab (RKLB) - \$70.65

What they do: Launches satellites into space; builds satellites and space systems

Trump connection: Trump created Space Force; executive order "Ensuring American Space Superiority"

Key data: \$816M contract (December 2025) to build 18 missile-defense satellites; analyst targets \$85-\$90

10. Kratos Defense (KTOS) - \$77.70

What they do: High-performance unmanned combat aircraft (XQ-58 Valkyrie) that fly alongside manned jets

Trump connection: Pentagon pushing hard for autonomous combat systems

Key data: 35.8% year-over-year revenue increase in Unmanned Systems segment

11. nLIGHT (LASR) - \$39.20

What they do: High-power lasers that are the "engine" for military laser weapon systems

Trump connection: Military transitioning directed energy weapons from experimental to operational deployment

Key data: \$171M defense contract for high-energy laser program; shooting down drones with lasers costs dollars vs. thousands for missiles

12. PLUS Korea Defense ETF (KDEF)

What it does: ETF holding Korean defense companies, especially shipbuilders

Trump connection: U.S. has severe shipbuilding capacity crisis; may need Korean shipbuilding expertise to expand Navy fleet

Key data: Contrarian play on naval expansion; political risk but addresses industrial reality

13. AST SpaceMobile (ASTS) - \$71.95

What they do: Massive satellite arrays providing cellular coverage directly to smartphones; space-based surveillance

Trump connection: Space domain awareness and resilient communications priorities

Key data: \$1B+ in contracted revenue commitments; U.S. Government prime contract

 **Think About It:**

Question 3: Which 2-3 stocks from this list align best with what you understand about defense priorities?

Question 4: Do you prefer "picks and shovels" companies (suppliers to multiple programs) or direct technology providers?



Key Timing & Catalysts

Immediate (Next 3-6 Months - Q1/Q2 2026)

- **AVAV:** Long Range Reconnaissance contract award expected
- **LPTH:** Stinger missile replacement decision expected
- Trump administration pushing to accelerate defense acquisitions

2026 - The "Year of Delivery"

- Counter-drone systems moving from prototypes to large-scale deployment
- Directed energy weapons reaching operational status
- Autonomous systems deployment accelerating

Long-Term (Through 2032)

- Patriot PAC-3 missile spending secured through 2032
- Supply chain reshoring mandates create ongoing domestic demand
- Multi-year NDAA munitions funding



The Opportunities

1. **Legislative Tailwinds:** The NDAA has been signed into law. The spending is authorized. The bans on Chinese materials are in effect.
2. **Multi-Year Visibility:** Some companies have contracts extending 7 years into the future
3. **Bipartisan Support:** Defense spending has support from both parties, reducing political risk
4. **Diversification:** These 13 stocks cover different technologies - you're not betting on one program

5. **Component Supplier Strategy:** Many sell to multiple programs, so if one gets delayed, they still have revenue

 CRITICAL RISKS TO UNDERSTAND

1. **Timeline Risk:** Defense programs can take 10+ years from concept to deployment. The "year of delivery" thesis might be optimistic.
2. **Small-Cap Volatility:** Many of these are small/mid-cap companies that can be much more volatile than large defense contractors.
3. **Contract Award Risk:** Near-term catalysts depend on specific contract awards. If those go to competitors, stock prices could drop.
4. **Political Risk:** Defense priorities can change with future administrations.
5. **Valuation Risk:** Some stocks trade at high valuations. You're paying a premium for growth that hasn't happened yet.
6. **Execution Risk:** Cutting-edge technologies don't always work as planned.

 Think About It:

Question 5: What percentage of your portfolio would you feel comfortable allocating to this sector?

Question 6: How would you manage the risk if one of these stocks dropped 20-30%?

Question 7: Are you investing for 1 year, 3 years, or 5+ years? How does that change your strategy?



Key Takeaways

1. Multi-Year Trend, Not Get-Rich-Quick

Defense acquisitions take time, but the direction is clear with \$1 trillion in authorized spending and laws already signed.

2. Diversification Is Critical

Don't bet everything on one stock. Consider building a basket of investments across different technologies and company sizes.

3. Watch the Catalysts

Pay attention to Q1/Q2 2026 contract awards (AVAV, LPTH) - these could be significant inflection points.

4. Understand the Risks

These aren't guaranteed wins. They're high-conviction plays based on policy alignment, but execution matters.

5. "Picks and Shovels" Strategy

Component suppliers (LPTH, PKE, MOG.A, LASR) may offer more stability than single-program companies because they supply multiple customers.



Your Action Plan

Based on what you've learned, write down your next 3 steps:

Step 1:

Step 2:

Step 3:

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This workbook was created to accompany the educational video "Trump's Defence Stocks: The Investment Opportunity of a Lifetime?"

All information current as of December 28, 2025